

MATRIX									
Primary	Primary		Min FICO	Max LTV / CLTV / HCLTV					
	Units	Max. Loan Amount		BK Statements / WVOE			P & L		
			Pur.	R & T	C/O	Pur.	R & T	C/O	
	1 - 4	\$1,000,000	680	80	80	75	80	75	70
			660	80	80	75	75	70	n/a
		\$1,500,000	700	80	80	80	80	75	70
			680	80	80	75	80	75	70
			660	80	75	75	75	70	n/a
		\$2,000,000	720	80	80	80	80	75	70
			680	80	75	70	80	75	70
660			75	70	65	n/a			
\$2,500,000		720	80	75	75	80	75	70	
		680	75	70	65	75	70	65	
		660	70	65	65	n/a			
\$3,000,000		720	75	70	70	n/a			
		700	75	70	65				
		680	70	65	65				
\$3,500,000		720	70	70	n/a	n/a			
		700	70	65	n/a				
\$4,000,000		720	70	65	n/a	n/a			
2nd Home		2nd Home		Min FICO	Max LTV / CLTV / HCLTV				
	Units	Max. Loan Amount	BK Statements / WVOE			P & L			
			Pur.	R & T	C/O	Pur.	R & T	C/O	
	1 - 4	\$1,000,000	660	80	80	75	75	70	n/a
		\$1,500,000	680	80	80	75	80	75	70
			660	80	75	75	75	70	n/a
		\$2,000,000	680	80	75	70	80	75	70
			660	75	70	65	n/a		
		\$2,500,000	720	80	75	75	80	75	70
			680	75	70	65	75	70	65
660			70	65	65	n/a			
Investment	Investment		Min FICO	Max LTV / CLTV / HCLTV					
	Units	Max. Loan Amount		BK Statements / WVOE			P & L		
			Pur.	R & T	C/O	Pur.	R & T	C/O	
	1 - 4	\$1,000,000	660	80	80	75	75	70	n/a
		\$1,500,000	680	80	80	75	80	75	70
			660	80	75	75	75	70	n/a
		\$2,000,000	680	80	75	70	80	75	70
			660	75	70	65	n/a		
		\$2,500,000	720	80	75	75	80	75	70
			680	75	70	65	75	70	65
660			70	65	65	n/a			
\$3,000,000		720	75	70	70	80	75	70	
		700	75	70	65	75	70	65	
		680	70	65	65	n/a			
\$3,500,000		720	70	70	75	75	70	n/a	
		700	70	65	n/a	n/a			

Property Type			
- SFR (attached and detached) - PUD (attached and detached) - 2 to 4 unit Condo: Will not require a project review. Provide that the project is not a condotel, timeshare or segmented-ownership project - 2 to 4 units - Not Eligible: Appraisal indicates condition ratings of C5 or C6, or a quality rating of Q6 - Max 20 acres - Min square footage - SFR: 700 sq.ft. - Condo: 500 sq.ft. - 2 - 4 units: 400 sq.ft. per individual unit			
Housing History			
- Mortgage History: 1x30 in last 12 months - VOR: 12 month rental history is required if borrower is renting current primary residence - If a complete 12 month mortgage history is not reported on the credit report, then we must use one of the following to complete the borrower's payment history: - Credit supplement, or - VOM completed by the creditor / servicer, or - Loan payment history from the creditor / servicer, or - Proof of payment (e.g., cancelled check, ACH payment, bank transfer, etc.)			
Credit Event Seasoning			
Bankruptcy	36 months	Short Sale, Deed-In-Lieu	24 months
Foreclosure	48 months	Loan Mod	12months
Charge offs, Collections, Judgments, Tax Liens		Must meet FNMA guideline	
Declining Market			
No restrictions			
General Requirements			
Eligible Borrowers	- US Citizens - Permanent Aliens - Only a valid Green Card with a min. of 90 days remaining at the time of funding is required - Non-Permanent Resident Aliens - Visa types allowed: E-1, E-2, E-3, EB-5, G-1 through G-5, H-1B, L-1, NATO, O-1, R-1 - Visa must be current. If the visa will expire within 3 month following the closing date, additional documents are required: - Evidence that the proper extension steps have been followed per the USCIS along with proof of payment receipt and proof that the extension was done in the timeframe required by USCIS		
First Time Homebuyer	- Rental history required by canceled checks or VOR form for last 12 mon - Living rent free with relative is allowed with LOE		
Non-Occupant Co-borrowers	Not allowed		
For-Sale-By-Owner	FSBO transactions are not allowed Except the Gift of Equity transaction		
New Construction	Only allowed on primary residences		

Income Requirements	
Self-employed Borrower	
CPA/EA/CTEC/TAX ATTORNEY prepared Doc Type	- Self-employed business license or CPA/EA/CTEC/Tax Attorney (PTIN is not allowed) letter verifying borrower's ownership of business for last two years AND - The most recent 12 month or 24 month Profit & Loss Statement completed by CPA/EA/CTEC/TAX ATTORNEY. PTIN is not allowed. - Permitted for self-employed borrowers with a min. of 25% ownership of the business
Self-employed Borrower	
Personal Bank Statements Type	- 12 or 24 mon. personal and 2 mon. of business bank statements, the most recent statement dated within 120 days of the note date. - Permitted for self-employed borrowers with a min. of 20% ownership of the business - CPA/EA/CTEC/TAX ATTORNEY letter verifying borrower's percentage ownership of business, or operating agreement, or equivalent. - Qualifying income is determined by the total eligible deposits from the 12 or 24 mon. of personal statements divided by the number of statements
Self-employed Borrower	
Personal Bank Statements Type	- The business bank statements must reflect business activity and transfers to the personal account - Only transfer or deposit from the business accounts are eligible deposits - CPA Letter, or Business License, or Bank Statement from 24 or more months prior to note date reflecting activity, or Other reasonable evidence of business activity - Deposits from alternative payment processing applications (i.e., Square, Venmo) are NOT eligible
Business Bank Statements Type	- 12 or 24 mon. business bank statements, the most recent statement dated within 12 days of the note date - All business bank statements from other bank accounts less than 12 mon. old are eligible if they are provided from one of the accounts, and the borrower has owned the business for more than 2 years - Permitted for self-employed borrowers with a min. of 20% ownership of the business - CPA/EA/CTEC/TAX ATTORNEY (PTIN is not allowed) letter verifying borrower's percentage ownership of business, or operating agreement, or equivalent - Deposits from alternative payment processing applications (i.e., Square, Venmo) are eligible
Co-mingled Bank Statements:	- 24 or 12-months business bank statements, the most recent statement dated within 120 days of the note date - A co-mingled 12- or 24 mos bank statement is a personal account used by a borrower for both business and personal use. A separate business account is not required. - Verify that the borrower has 100% ownership of the business by providing one of the following: - CPA letter, Tax Preparer letter, operating agreement, or equivalent; reflecting the borrower's ownership percentage - The borrower must be the sole owner of the business listed on the loan application - The borrower and spouse, who have combined 100% ownership of the account, are eligible * Qualifying income is determined by one of the following analysis methods for Business Bank Statements Type & Co-mingled Bank Statements - Fixed expense ratio of 50% - Expense ratio provided by a 3rd party (CPA/EA/CTEC/TAXATTORNEY but not PTIN) min ratio of 10%

Self-employed Borrower	
Co-mingled Bank Statements:	- 3rd party prepared Profit & Loss Statement(CPA/EA/CTEC/TAX ATTORNEY but not PTIN) - IRS Form 1099 - 2 years or 1 year 1099 - Fixed expense ratio of 10% - YTD Documentation to support continued receipt of income from same source
Eligible Other Incomes	
Alimony or Child Support	- A copy of the final court approved Divorce Decree (separation agreement or other written agreement/court decree) containing the amount and duration. The income must continue for a minimum of 3years (check for limitations on duration such as the ages of children) - Evidence of regular receipt for the last 6 months (inconsistent or sporadic payments may not be included as income) - Calculation: Utilize the current payment amount
Auto Allowances	- Written VOE (Form 1005) completed in full by the employee verifying most recent two-year income history. - Calculation: 2-year average of the income.
Bonus or Overtime	- Written VOE (Form 1005) completed in full by the employer verifying most recent two-year income history. Income, employment, and assets are stated and verified. Documentation may not be more than 120days from the date the note is signed. - Borrowers must have two years' consistent employment with the same employer or in the same industry. - Calculation: 2-year average of the income.
Commission	- If the commission income represents less than 25% of the borrower's total annual employment income, obtain the following documents: - Written VOE (Form 1005) completed in full by the employer verifying most recent two-year income history. - Income, employment, and assets are stated and verified. Documentation may not be more than 120 days from date note's signed - Borrowers must have two years of consistent employment with the same employer or in the same industry. - Calculation: 2-year average of the income.
Eligible Other Incomes	
Disability	- If amount and duration are not disclosed in the awards letter, a copy of the disability policy may be required. -If the benefits have a defined expiration date (not long-term disability), verify that the remaining term is at least 3 years from the date of the mortgage application. -Calculation: If higher short-term disability payment will fall to lower long-term payment during the next 3 years, use the lower long-term payment for qualifying purposes. Otherwise use the current payment. If disability income will not continue for 3 years, it cannot be included in income.
Housing or Parsonage Allowance	- Written Verification of Employment, letter from employer, or paystubs reflecting the amount of the housing or parsonage allowance. - Terms under which the housing or parson age allowance is paid. - Proof of receipt of housing allowance for the most recent 12 months. - The housing allowance may not be used to offset the monthly housing payment.

Eligible Other Incomes	
Part-Time	- Minimum 24-month total history (multiple employers). - Written VOE (Form 1005) completed in full by employer verifying most recent two years. - Income, employment, and assets are stated and verified. Documentation may not be more than 120 days from date note is signed.
Rental	- Rental Property Other Than Subject Property - Fully executed lease agreement/month to month rent agreement AND Calculation: 75% of gross rent less PITI and HOA dues - Full net rental income can be used towards the qualifying income regardless of whether any other borrowers are listed in the title or not - Subject Property is Rental Property - Purchase: Use 75% of market rent from an appraisal - Refinance: Use the lesser of 75% of rent from a fully executed lease agreement/month to month rent agreement or an appraisal including market rent analysis - Calculation: 75% of gross rent less PITI and HOA dues - Full net rental income can be used towards the qualifying income regardless of whether any other borrowers are listed in the title or not
Retirement, Government Annuity and Pension	- Copies of retirement award letters or current statements AND - Copies of borrower's 2 most recent bank statements showing deposits - Calculation: Use the current amount
Eligible Other Incomes	
Secondary Employment (Second Job)	- Minimum 24-month total history (multiple employers) - Written VOE (Form 1005) completed in full by the employer verifying most recent two-year income history. - Income, employment, and assets are stated and verified. Documentation may not be more than 120 days from date note is signed. - Borrowers must have two years of consistent employment with the same employer or in the same industry. - Calculation: Develop a 2-year average of the income.
Social Security	- Copy of the award letter or Social Security Benefit Statement AND - Most recent bank statement reflecting proof of current receipt. - Calculation: Use current amount from documentation
Tips	- Minimum 24-month total history (multiple employers). - Written VOE (Form 1005) completed in full by the employer verifying most recent two-year income history. - Income, employment, and assets are stated and verified. Documentation may not be more than 120 days from date note is signed. - Borrowers must have two years of consistent employment with the same employer or in the same industry. - Calculation: Develop a 2-year average of the income.
Credit Score	- All borrowers must have a minimum of 2 credit scores on a tri-merged credit report and sufficient credit experience - Use the credit score of the borrower with the highest qualified income
Credit Refresh Gap Credit Report	- Soft pull credit report is required no more than 30 days prior to loan closing or any time after closing. Any new debt must be included in determining the DTI ratio - The full credit report pulled 30 days prior to loan closing can be considered as the gap credit report required

Eligible Other Incomes	
Tradeline Requirement	- 3 Tradelines with 12 mon. rating (may be open or closed) or 2 tradelines with 24 mon. rating (may be open or closed) - If the primary borrower has 3 credit scores, the min. tradeline requirement is waived - Non-traditional credit : Ineligible
Authorized User Account	- Authorized user cannot be considered in the min. tradeline requirement. - Authorized user accounts can be excluded from the DTI ratio
Disputed Accounts	Disputed accounts are reviewed to determine current balance and derogatory information (a 30-day or more delinquency) within 1 year prior to the credit report date : - \$0 balance and no derogatory information: no action required - \$0 balance and derogatory information: no action required - A positive balance and no derogatory information: no action required - A positive balance and derogatory information: remove and provide a credit supplement
Installment Debt	Must meet FNMA guideline
Lease Payments	Must meet FNMA guideline
Student Loans	Must meet FNMA guideline
Deferred Installment Debt	Must meet FNMA guideline
Qualifying Rate	Greater of Fully Indexed Rate or Note Rate.
Qualifying Ratio	50.00%
Emp.History	Min. 2 yrs
4506-C	- Not required
Verbal VOE	- Salaried Borrower: 10 days prior to disbursement date - The phone number that the borrower provided as their employer's number must be independently confirmed by using the telephone book, directory assistance, Superpages.com, Yellowbook.com. - Self Employed Borrower: 30 days prior to disbursement date - Verification of the existence of the borrower's business from a third party, such as a CPA/EA/CTEC/TAX ATTORNEY, regulatory agency, or the applicable licensing bureau. - OR Obtaining a phone listing and address for the borrower's business using telephone book, the internet, or directory assistance
Asset	- Most recent one (1) month bank statement or VOD required; A single deposit that exceeds 100% of the total monthly qualifying income is to be sourced for purchase transactions only. - VOD should be dated within 120 days of loan application date
Busines Assets	- May be used for down payment, closing costs, and reserves if the borrower is either (i) 100% owner of the business or (ii) at least a 50%owner of the business provided that there is a letter of explanation in the file which includes an attestation from all other owners of the business that the borrower is entitled to the funds. - If amounts in the business account are used for down payment, a cash flow analysis or a letter from the business accountant is required to confirm that the withdrawal will not negatively impact the business. - If amounts in the business account are used for reserves and borrower is less than 100% owner of the business, the percentage of ownership in the business should be multiplied by the account balance to determine the amount of funds attributable to the borrower. - Source of large deposit is not required to be documented.

Underwriting Requirements		
Crypto Currency	- Bitcoin and Ethereum are eligible sources of funds for the downpayment, closing costs and reserves. Crypto is not an eligible liquid asset utilization/depletion - Down payment & closing costs: Crypto currency must be liquidated and deposited into an established US bank account - Reserves: Loan file must include a statement meeting the requirements under account statements to document ownership of the crypto holdings. Current valuation, within 30 days of the loan Note date, can only be determined from the Coinbase exchange. 60% of the current valuation will be considered eligible funds.	
Min. Borrower Contribution	None	
Gift Funds & Gift of Equity	- 100% gift funds allowed. - Must meet FNMA guidelines for acceptable donors. - If donor provides gift funds from business account, must follow above Business Assets requirements. - Gift of Equity requires a gift letter, and the equity gift credit is to be shown on the CD. Must provide a 12-month mortgage history on the existing mortgage securing the subject property, confirming the Family Sale is not a foreclosure bailout. - Gift of equity allowed for primary residence only. - No 2nd home & Investment property.	
Eligible Other Assets	- Foreign Assets - Foreign assets being used for down payment and closing costs must be held in a U.S. account prior to closing. - The sale of the foreign assets and conversion of foreign currency must be fully documented and verified. - The borrower's source of funds for the down payment and/or closing costs must comply with the Office of Foreign Assets Control (OFAC). - Life Insurance (Cash Value) - Net proceeds from a cash value or from the surrender of a life insurance policy may be considered for downpayment, closing cost and reserves. - The most recent statements must be provided. - If the funds are needed for the down payment or closing cost, proof of liquidation and receipt of the funds by the borrower must be documented. - When the cash value of the life insurance is being used for reserves, the cash value must be documented but liquidation is not required.	
Eligible Other Assets	Stocks Bond Mutual Funds	- 100% funds may be considered for downpayment, closing cost and reserves. - If the value of the asset is at least 20% more than the amount of funds needed for the down payment and closing costs, no documentation of the borrower's actual receipt of funds realized from the sale or liquidation is required. Otherwise, Evidence of the borrower's actual receipt of funds realized from the sale or liquidation must be documented. - When Stocks/Bond/Mutual Funds are used for reserves, 100% of the value of the assets may be considered, and liquidation is not required.
	Vested Retirement Acct.	- 100% funds may be considered for down payment, closing cost and reserves. - The most recent retirement account statement must be provided and must identify the borrower's vested amount and the terms. - Terms of withdrawal may be required. - When funds from retirement accounts are used for reserves, the funds to be withdrawn from the account(s) is not required.

Underwriting Requirements	
Reserves	- Primary & 2nd Home: - $\leq \\$1,000,000$ & LTV $\leq 75\%$: No reserves - $> \\$1,000,000$ or LTV $> 75\%$: 2 months Principal & Interest payment - Investment: - $\leq \\$1,000,000$: 4 months Principal & Interest payment - $> \\$1,000,000 \leq \\$2,000,000$: 6 months Principal & Interest payment - $> \\$2,000,000$: 9 months Principal & Interest payment - Reserves are required for subject property only. - No additional reserves for each financed property (other than subject) - Gift funds can be used for reserve requirement for all transaction. - Cash Out Net Proceed can be used for reserve requirement. - Reserve requirements are waived for Rate & Term Refinance transactions when the transaction results in a reduction to the monthly P&I payment of 10% or greater AND housing history is 1x30x12 or better. For Interest Only loan, the reduction is based on the amortizing payment used for loan qualification.
Max Seller Contribution	- Primary & 2nd Home: 6 % for LTV $> 75\%$ & 9% for LTV $\leq 75\%$ - investment: 3% - Interested party contributions may only be used for closing costs and prepaid expenses and MAY NEVER be applied to any portion of the down payment or contributed to the borrower's financial reserve requirements.
Selling Agent Commission	- Selling Agent (Buyer's Real Estate Agent) Commission paid by the buyer: Considered a closing cost
Borrower as Agent	Borrower acting as their Own agent may contribute funds (i.e., commission) up to the maximum contribution limits referenced above
Rate/Term Refinance	- If the subject property was listed For Sale within the 6 months prior to the application date, the documentation must include a signed statement from the borrowers indicating their intent to retain the property. - Pay off an existing first mortgage loan and any subordinate loan used to acquire the property. - Pay off any subordinate loan not used in the acquisition of the subject property, provided one of the following apply: - Closed-end loan, at least 12 months of seasoning has occurred. - HELOC, at least 12 months of seasoning has occurred, and total draws over the past 12 months are less than \$2,000. - Buy out a co-owner pursuant to an agreement. - Pay off an installment land contract executed more than 12 months from the loan application date. - Cash back in an amount not to exceed the lesser of 2% of the new loan amount or \$5,000 can be included in the transaction. - If the subject property was acquired more than six months from application date, the appraised value will be used to determine LTV/CLTV. If the property was acquired less than or equal to six months from the application date, the lesser of the current appraisal value or previous purchase price plus documented improvements (if any) will be used to determine LTV/CLTV. The purchase settlement statement and any invoices for materials/labor will be required. - Refinance of a previous loan that provided cash out, as measured from the previous note date to the new note date, and is seasoned less than 12 months, will be considered a cash out refinance

Underwriting Requirements	
Cash-Out Seasoning	- Cashout: Not eligible if there has been a prior cashout transaction in the past 6 months - Cash out seasoning is defined as the time difference between application date of the new loan and the property acquisition date. - A minimum borrower seasoning requirement of six (6) months is required for a transaction to be eligible for cash out. - For properties owned 12 months or longer, the LTV/CLV is based upon the appraised value. - If the cash-out seasoning is less than 12 months but greater than 6months, the transaction property value is limited to the lower of the current appraised value or the property's purchase price plus documented improvements. - The payoff of delinquent real estate taxes (60 days or more past due) is considered cash-out - For refinance transactions – Payoff statement reflects late fees, deferred balance, or delinquent interest greater than 30 days are subject to housing history/or credit event criteria. Transaction is to be considered cash-out - Properties listed for sale in the past six (6) months are not eligible. - Cash out seasoning of six (6) months or less is allowed with the following restrictions: -It must be documented that the borrower acquired the property through an inheritance or was legally awarded the property through divorce, separation, or dissolution of a domestic partnership.
Delayed Financing	- Delayed purchase financing is eligible when a property was purchased by a borrower for cash within 180 days of the loan application. - the original purchase transaction was an arms-length transaction. - The source of funds for the purchase transaction are documented(such as bank statements, personal loan documents, or a HELOC on another property). - The maximum LTV/CLTV ratio for the transaction is based upon the lower of the current appraised value or the property's purchase price plus documented improvements.
Delayed Financing	- The preliminary title search or report must confirm that there are no existing liens on the subject property. - The transaction is considered cash-out; cash-out pricing adjustors apply. - The new loan amount can be No more than the actual documented amount of the borrower's initial investment subject to the maximum LTV/CLTV for cash-out transactions.
Max Cash back to borrower	- Unlimited
Texas Cash Out	- Must meet FNMA guidelines
Listed Properties	- Rate/Term: Cannot be listed for sale on date of loan application. - Cash Out: Cannot be listed for sale in prior 6 months from date of loan disbursement
Appraisal	- AVM must be dated within 90 days of the Note date - One full appraisal required for all loans <= \$2,000,000 - Two full appraisals required for all loans > \$2,000,000. - Desk review or CDA(Clear Capital) or *AVM(Clear Capital) will be ordered and reviewed by ITRUST Underwriter on all loans. (Desk review or CDA or AVM will not be required when Two full appraisals provided) - Transferred Appraisal: Allowed
Hazard/Flood Insurance	- Must Meet FNMA Guidelines

Underwriting Requirements	
Condo Master Insurance	- Condo / Attached PUD / Townhouse Master Insurance Requirements - Master insurance policy must include the project name and project address for the location of the project. - Borrower name, unit number, and mortgage clause (loss payee) are NOT required to be included in master insurance policy.
Number of Financed Properties	- No limit on number and no max total existing combined loan balance of financed properties, however ITRUST will finance up to 5 properties with a maximum unpaid principal balance of \$10,000,000. - Joint ownership in residential real estate is considered the same as total ownership and is subject to the same restriction
Subordinate Financing	- Not Allowed
Prepayment Penalty	- Investment Property Only. - Prepayment periods up to 5-Years eligible. - Penalties not allowed on loans vested to individuals in NJ. - Six months of interest - The prepayment charge will be equal to 6 months of interest on the amount of the prepayment that exceeds 20% of the original principal balance. The charge applies to loans that pay off due to sale or refinance, or curtailments that exceed 20% of the original principal balance in a given 12-month time period. - 3%, 4%, or 5% fixed percentage - The prepayment charge will be equal to a fixed percentage and applied to any curtailment or the entire outstanding principal balance during the prepay period. The charge applies to loans that are paid off due to sale or refinance. - Declining structures that do not exceed 5% and do not drop below 3% in the first 3 years. For example: (5%/4%/3%/3%/3%) or (5%/4%/3%/2%/1%) - The prepayment charge will be equal to the percentage in effect and applied to any curtailment or the entire outstanding principal balance during the prepay period. The charge applies to loans that are paid off due to sale or refinance. - The prepayment penalty can be disclosed within the body of the Note or in a separate rider.
Payment Shock	- Not applicable
Escrow Waiver	Eligible for Non-HPML files
Closing In Trust	Must meet FNMA guideline
Power of Attorney	- Not allowed for Cash-Out - Specific to the transaction - Must be recorded with Mortgage/Deed of Trust - An interested party to the transaction (such as seller, broker, loan officer, realtor, etc.) may not act as Power of Attorney
Accessory Unit	- Must meet FNMA guideline
Properties with Solar Panels	- Must meet FNMA guideline
For Non-Subject Title Only Properties	- Only the mortgage payment may be omitted from the borrower's DTI if one of the following documents is provided. (HOI, property tax, and HOA dues (if applicable) need to be included in borrower's DTI when qualifying) - Mortgage note showing only the third-party responsibility or - Mortgage statement showing only the third-party's name or - 12 months verification of mortgage showing only the third-party's name.
Leaseholds	- Must meet FNMA guideline

Underwriting Requirements	
Flips	A property is considered a “flip” if either of the following are true: - The price in the borrower’s purchase agreement exceeds the property Seller’s acquisition price by more than 10% if the property Seller acquired the property 90 or fewer days prior to the date of the borrower’s purchase agreement. The price in the borrower’s purchase agreement exceeds the property Seller’s acquisition price by more than 20% if the property Seller acquired the property 91-180 days prior to the date of the borrower’s purchase agreement. - The acquisition date is the day the seller became the legal owner. The purchase date is the day the borrower and the seller sign the home purchase agreement. Start with the day after the acquisition date and count up to and including the purchase date. If the property is a “flip” as defined above, the following additional requirements apply: - A second appraisal must be obtained. - If the loan is subject to Regulation Z, a copy of the second appraisal must be provided to the borrower in compliance with the federal HPML requirements. - The second appraisal must be dated prior to the loan consummation/note date. - the property Seller on the purchase contract must be the owner of record. - Increases in value should be documented with commentary from the appraiser and recent comparable sales. - Sufficient documentation to validate the actual cost to construct or renovate (e.g., purchase contracts, plans and specifications, receipts, invoices, lien waivers, etc.) must be provided, if applicable.
Vesting For Business Purpose Loans	
Investment Properties Only	- A Business Purpose Loan where the borrower is an entity is limited to the following structures: Limited Liability Company (LLC), Partnership, and Corporation. The following requirements apply to all loans vested in an entity: - Purpose and activities are limited to ownership and management of real property. - Multi-level entity structures are allowed subject to entity documentation requirements met for all entities. - Entity must be domiciled in a U.S. State. - Entity is limited to a maximum of four (4) member(s) or manager(s). - Personal guaranties must be provided by member(s)/manager(s) representing at least 50% ownership of the entity. The personal guaranty form is available upon request. - A guarantor must have authority to execute loan documents on behalf of the entity. - Each Entity member providing a Personal Guaranty (full recourse) must complete a FNMA Form 1003 or similar credit application indicating clearly that such document is being provided in the capacity of guarantor. Only the debt appearing on the personal credit report of individual(s) providing a personal guaranty needs to be reflected on the FNMA Form 1003 loan application. The application of each member providing a personal guaranty and their credit score, and credit worthiness will also be used to determine qualification and pricing. - No Lender or Broker shall suggest or encourage the formation of an Entity for the purpose of obtaining a mortgage loan. Such structures shall be initiated and arranged by the members of the Entity.

Vesting For Business Purpose Loans	
Guarantor(s) Documentation	- Loan Application (e.g., FNMA Form 1003 or other application). - Completed for each member of the Entity providing a guaranty. - Section labelled "Title will be held in what Name(s)" should be completed with only the LLC name. - Signed by Individuals - Credit report from at least one (1) guarantor. - Loan documents. - Business purpose loan disclosures as applicable (e.g., GFE, TIL, LE, CD, ECOA) - Any state or federally required settlement statement as applicable. - Note, Deed of Trust/Mortgage, and all applicable Riders must be executed by the guarantor in their capacity as authorized signer for the entity. - Personal Guaranty - The guaranty must be full recourse. - The guaranty must reference the Note and loan amount. - Personal guaranties from community property states (AK, AZ, ID, LA, NM, TX, WA, WI) must be accompanied with a Spousal Consent to Pledge
Limited Liability Company (LLC)	- Entity articles of organization or partnership (or equivalent) - Evidence of good standing - Good standing is always required for the state in which the entity was formed (e.g., Certificate, screen shot from state website) - Entity documents authorizing the guarantor to execute loan documents on behalf of the entity (e.g., Operating Agreement, Certificate of Authorization) - If not available, a Borrowing Certificate is required. - Borrowing Certificate (LLC Borrowing Certificate - Single Member or LLC Borrowing Certificate - Multiple Member) - Entity documents that include a list of members/managers and ownership percentage (e.g., organization structure) - EIN/Tax Identification Number - Single member LLC may use EIN or the guarantor social security number. - Multi-member LLCs require an EIN.
Corporation	- Filed Certificate/Articles of Incorporation and all amendments (or equivalent) - By-Laws and all amendments - Evidence of good standing - Good standing is always required for the state in which the entity was formed (e.g., Certificate, screen shot from state website) - EIN/TAX Identification number - Borrowing Resolution/Corporate Resolution granting authority of signer to enter loan obligation. - Receipt of current year franchise tax payment, clear search, or evidence the state does not require a franchise tax payment.
Partnership	- Filed Partnership Certificate (if a general partnership, filing with the SOS may not be required) - Partnership Agreement and all amendments - Evidence of good standing - Good standing is always required for the state in which the entity was formed (e.g., Certificate, screen shot from state website) - EIN/TAX Identification number - Limited partner consents (where required by partnership agreement).

Vesting For Business Purpose Loans	
Documents must be completed and signed as follows:	- Signed as an individual(s): - Loan Application (FNMA Form 1003) *Completed for each member of the Entity providing a guaranty. *Section labelled "Title will be held in what Name(s)" should be completed with only the Entity name *Signed by Individuals - Personal Guaranty *Completed for each member of the Entity providing a guarantee *The guaranty should be executed at loan closing and dated the same date as the Note *Personal Guaranties from community property states (AK, AZ, ID, LA, NM, TX, WA, WI) must be accompanied with a Spousal Consent to Pledge - Signed by the authorized signer for the entity: - Disclosures (e.g., GFE, TIL, LE, CD, ECOA) - Any state or federally required settlement statement as applicable. - Note, Deed of Trust/Mortgage, and all Riders.